

offered 11 other cryptocurrency futures. A perpetual futures contract is similar to a traditional futures contract but without an expiration date. By entering into a perpetual futures contract, the investor is simply betting on the future price of an asset. The contract can be long or short and with or without leverage; it uses an index price based on the average price of the underlying asset across the major exchanges.²⁷ The investor deposits margin collateral and chooses a direction and amount of leverage. Depending on investor demand, the contract can trade at a premium or discount to the index price (BTC).

A funding rate, paid from one side to the other, keeps the futures price close to the index. If the futures contract is trading at a premium to the index, the funding rate would be positive and longs would pay shorts. The magnitude of the funding rate is a function of the difference in price compared with the index. Likewise, if the contract is trading at a discount, the shorts pay the long positions. The funding rate incentivizes investors to take up the opposing side from the majority to keep the contract price close to the index.²⁸ As long as the required margin is maintained, the investor can always close the position at the difference in the price of the notional position minus any negative balance held on margin.

Like a traditional futures contract, the perpetual futures contract has two margins: initial and maintenance. Suppose the initial margin is 10 percent. This means the investor